

do so? Perhaps it falls back down a little, perhaps not. Perhaps it continues for a year before being stopped out. If you don't enter all positions right away it will take quite a while before you achieve any meaningful diversification and even longer before your live track record is in sync with simulations. If you happen to go live just before a very profitable phase of the strategy, it may take longer to recover the underperformance. Perhaps you start just before a bad period too but that is impossible to predict, and therefore the wise decision is to just stick with the programme.

■ Execution

A practicality you need to think about before commencing trading operations is just how you are going to handle the executions when new trade signals are generated. Our strategy in this book assumes that you place market orders before each exchange is open and get the stated open price with a realistic slippage, but this is of course a simplification of reality. The exchange openings can be at very different times of the day and perhaps in the middle of the night for you. Some markets have several trading sessions that you need to take into account and others are practically traded 24 hours a day, making the definition of "open" a little fuzzy. There is also the question of liquidity, of course, where in particular some commodity markets can be quite illiquid part of the day, making market orders at those times subject to higher spread costs.

From my own experience, as well as that of colleagues at other futures management companies, I can say for sure that there is a wide range of opinions and different approaches on this subject. Some of the traders have everything automated, with their analytical software sending orders directly to the exchange using pre-programmed algorithms for when and how to execute each market. Other funds have large staffs of execution traders who sometimes are given as much as a week to enter or exit after a signal has been given by the analytical software. For a large fund that could potentially make a significant market footprint when they enter and exit, it makes sense to give execution traders the discretion of spreading the trade over a few days but there are also larger funds that use automatic programs to achieve the same thing. For a smaller fund or trader, it is of course possible to set defined times of the day when trades are made for different markets and then use a bit of common sense whether to enter a market order or limit order.